

CHAPTER 5

Debt-Free First

It was a chilly Saturday morning in April. While everyone else was sleeping in, I got ready to meet a group of men and women who regularly gather near downtown Los Angeles to talk frankly and openly about how they got into so much trouble with money. They're members of something called Debtors Anonymous, an offshoot of Alcoholics Anonymous, except their addiction isn't to alcohol, but to creating enormous, crippling personal debt. I was invited to attend an open meeting where a member of the group was asked to share his story about the compulsive spending that landed him in the rooms of DA.

Maybe you're wondering why I would spend time in Debtors Anonymous when it's clear that my financial house is in fine order. Here's why: I wanted to see worst-case scenarios. I wanted to find out how people who've hit financial rock bottom can also turn things around. Most of us never let things get that bad, but we can all learn a lot from the people who've experienced the dark side of debt and overspending. Some addiction experts say overspending is a disease. And like a disease, if it progresses without being addressed, it's something that only gets worse over time. When you study the economy as I do, and understand the frightening level of household debt in North America, it's hard not to agree with the addiction experts. Still, looking around this bright room on the third floor of a beautifully restored building, I saw a few broke—and broken—men and women who'd made the worst mistakes you can with money. They went into debt to buy consumer goods; they never kept budgets;